GMS WEEKLY

Your Source for Recycling News

September 9th, 2022
Volume 242, Issue 1048
Week 36

Highlights:

- **Several sales.**
- **Unsteady.**
- **India volatile.**
- **Dry bulk lull.**
- **Still firm.**
- **Scan to download GMS Recycling App**

QUOTE of the WEEK

"The two most important days in your life are the day you're born and the day you find out why."

– Mark Twain

MARKET COMMENTARY

PICKING UP!

Following the sale of Capesize bulkers for recycling last week, the trend has continued this week as well, with further transactions reportedly taking place on units – including Capes and a Suezmax tanker, as the market finally shows signs of life after an absolutely inert summer.

All of the major Ship Recycling destinations are still poised rather precariously, and Pakistan has seen some further depreciations on the currency towards the end of this week, whilst the country continues to battle floods, shortage of essentials, and the increasing spread of water-borne diseases, as thousands have perished in the floodwaters. Bangladesh too remains somewhat tentative, with limits on higher dollar value L/Cs still in place, local steel plate prices that took a noteworthy dive this week, and a Taka that seems to have found its stable place this week.

India has experienced (marginally less) volatile moves on steel across the week and remains the safest destination to deliver at present. Following an incredibly quiet 3 - 4 months of inactivity, there are signs of demand gearing up across sub-continent locations as most plots lie nearly dormant. Lastly, the Turkish market faces its own dithers this week, with further declines on fundamentals that are burying sentiments even further into the rut.

Overall, chartering markets have deprived recycling destinations of most tonnage, but Dry Bulk has recently started to cool off (particularly the Capesize Bulker sector), whilst Containers are also showing signs of softening, all while Tanker rates continue to shoot onwards and upwards.

It should hopefully be a busier finish to the year, as Owners look to capitalize on these still firm levels, despite the USD +100/LDT fall we have seen since the peaks of earlier this year. Rates in and around USD 550 – USD 600/LDT are still incredibly firm, given the lows we had witnessed of USD 250/LDT or so, during the early stages of the Covid pandemic.

For week 36 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Weak	570 / LDT*	580 / LDT*	590 / LDT*
2	India	Weak	560 / LDT	570 / LDT	580 / LDT
3	Pakistan	Weak	550 / LDT	560 / LDT	570 / LDT
4	Turkey	Weak	240 / LDT	250 / LDT	260 / LDT

**Small LDT*

GMS was saddened to hear of the passing of Queen Elizabeth II of England this week, the longest serving monarch in British history. Rest in Peace Ma'am.

BANGLADESH

KEEN TO SECURE!

Emptying.

Having seen minimal vessels head to Chattogram shores over the last few months, Bangladeshi Buyers have been increasingly eager to secure tonnage.

Very few Local Recyclers are able to get permissions to open L/Cs on larger U.S. Dollar value / large LDT vessels as Central Bank restrictions on non-essential purchases to save up on the country's foreign currency reserves have become very strict of late, affecting the domestic ship-recycling sector drastically.

Restrictions ease?

However, there are signs that these restrictions could be eased before the end of the year (especially) if the economic situation in the country stabilises and there are certain Buyers who are now willing to open Usance L/Cs, since it seems that the worst of the currency depreciation appears to be over as the Taka steadied at a BDT 95 against the U.S. Dollar for the entire week.

Local steel plate prices, however, are an entirely different story as domestic steel fell by nearly USD 21/Ton this week, keeping local expectations and sentiments in check.

NO MARKET SALES REPORTED

INDIA

UP THEIR GAME!

The volatility on Indian steel continues on a daily basis – often up and down by as much as USD 10 – USD 20/LDT and this week was no different, as domestic steel ended the week down by another USD 8/Ton.

Up and down.

End Buyers seem to have become used to this however, as with the currency, which has not yet firmly breached the dangerous level of Rs. 80 against the U.S. Dollar, but has firmed down towards the Rs. 79.7X mark.

With competing markets like Bangladesh starting to wake up from a sustained summer slumber, Indian Recyclers will certainly need to up their game if they want to secure any of the growing supply of candidates heading into Q4.

Demand ripe.

NO MARKET SALES REPORTED

PAKISTAN

FLOODS DOMINATE

Still critical.

The terrible floods that have beset Pakistan over the last few weeks continue to dominate the headlines, with thousands having died and millions more displaced from their homes. As being reported, nearly a third of the country has been submerged underwater with mounting troubles of delivering essential supplies, medicines, and the growing spread of water-borne diseases.

It certainly is a difficult time for Pakistan in general.

Suezmax sold.

Yet, there are those in Gadani who remain determined to get back to the business of buying ships once again as one Suezmax tanker CHEVAL BLEU (21,675 LDT) was reportedly committed for an impressively strong USD 615/LT LDT basis a Pakistan re-delivery.

Having experienced some shocking and blatant renegotiations over the previous few months, Cash Buyers and Owners will certainly need to see a show of strength and some good performances on any upcoming deals before tonnage starts trickling back to Gadani with any real confidence.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
CHEVAL BLEU	Tanker	21,675	USD 615/LT LDT

TURKEY

FESTERING!

The situation keeps getting worse for the festering Turkish market that has continued to decline since a few months now. Local steel plate prices have reportedly dropped by about USD 20/Ton and import steel has dropped by about USD 30/Ton, essentially burying local sentiments even further.

Burying sentiments.

Even the Lira has blown past the TRY 18.20 mark against the U.S. Dollar, leaving local sentiments so far down, that there remains virtually no interest from Aliaga Buyers to bid on the non-existent tonnage that is coming their way.

Having declined nearly USD 250/MT from the heady days in late spring / early summer, it seems Q4 (and likely even heading into 2023) will be a quiet time for the Turkish market.

Quiet until 2023.

NO MARKET SALES REPORTED

AMAZING FACTS

- *The U.S. government saved every public tweet from 2006 through 2017. Starting in 2018, the Library of Congress decided to only keep tweets on "a very selective basis," including elections and those dealing with something of national interest, like public policy.*
- *Theodore Roosevelt had a pet hyena. Its name was Bill, and it was a present from the Ethiopian emperor. Roosevelt was famous for his many pets, including a one-legged rooster, a badger, a pony, and a small bear.*
- *The CIA headquarters has its own Starbucks, but baristas don't write names on the cups. Its receipts say "Store Number 1" instead of "Starbucks," and its workers need an escort to leave their work posts.*
- *Giraffe tongues can be 20 inches long. Their dark, bluish-black color is probably to prevent sunburn.*
- *There's only one U.S. state capital without a McDonald's. Montpelier, Vermont, doesn't have any of those Golden Arches. It also happens to have the smallest population of any state capital, with just 7,500 residents.*
- *Europeans were scared of eating tomatoes when they were introduced. Scholars think Hernán Cortés brought the seeds in 1519 with the intent of the fruits being used ornamentally in gardens. By the 1700s, aristocrats started eating tomatoes, but they were convinced the fruits were poisonous because people would die after eating them. In reality, the acidity from the tomatoes brought out the lead in their pewter plates, and they actually died of lead poisoning.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
No holidays in September	September 07 – September 15 September 24 – October 02

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
No holidays in September	September 09 – September 12 September 25 – September 28

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
September 10 – September 12 – Mid-Autumn Festival	**No holidays in September**	**No holidays in September**

Prices indicated above are as reported in the market and are not necessarily accurate. This information is provided without prejudice and is given in good faith and without any guarantees whatsoever. While every care has been taken in the preparation of this report, no liability can be accepted for any loss incurred in any way whatsoever by any person relying on the information contained herein. Opinions expressed herein may be deemed subjective and arbitrary. This WEEKLY is intended only for the person or entity to which it is addressed and may contain confidential and/or privileged material. Any review, retransmission, dissemination, or other use of this information by persons or entities other than the intended recipient is prohibited.

ALANG - Port Position as of September 09, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Aba I	11,148	Drill Ship	Beached September 09
2	Albatross 1	1,275	Supply Vessel	Beached September 11
3	Malaviya Ten	1,969	Supply Vessel	Beached September 03
4	Mastero Universe	5,377	RoRo	Beached September 09
5	Prisco Bravo	2,564	Oil Tanker	Beached September 09
Total Tonnage		22,333		

CHATTOGRAM - Port Position as of September 09, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Ariana	15,672	Tanker	Arrived June 22
2	Gala	16,885	Tanker	Arrived February 28
3	Gangwon 01	11,253	RoRo	Arrived September 03
4	Ocean 02	2,395	Offshore Supply Vessel	Arrived September 07
5	Victory	3,153	Fishing Vessel	Arrived September 07
6	Winton T128	975	Bulk Carrier	Arrived June 23
Total Tonnage		50,333		

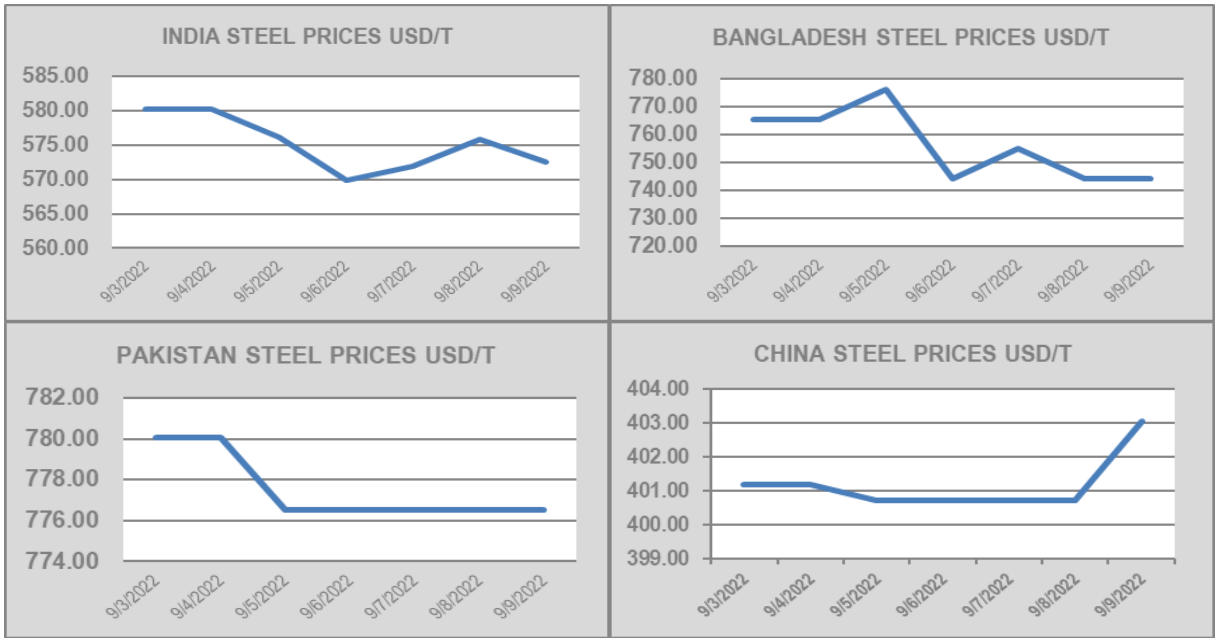
GADANI - Port Position as of September 09, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
No new vessels reported.				
Total Tonnage		-		

WHILE EXTREME CARE HAS BEEN TAKEN IN THE PREPARATION OF THIS REPORT, NO LIABILITY CAN BE ACCEPTED FOR ANY LOSS INCURRED IN ANY WAY WHATSOEVER BY ANY PERSON RELYING ON THE INFORMATION CONTAINED HEREIN.

Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
9/3/2022	580.20	46,300.00	780.05	172,000.00	765.55	72,000.00	401.21
9/4/2022	580.20	46,300.00	780.05	172,000.00	765.55	72,000.00	401.21
9/5/2022	576.15	46,000.00	776.52	172,000.00	776.18	73,000.00	400.74
9/6/2022	569.89	45,500.00	776.52	172,000.00	744.28	70,000.00	400.74
9/7/2022	571.96	45,700.00	776.52	172,000.00	754.92	71,000.00	400.74
9/8/2022	575.84	45,900.00	776.52	172,000.00	744.28	70,000.00	400.74
9/9/2022	572.50	45,600.00	776.52	172,000.00	744.28	70,000.00	403.05



www.gmsinc.net
GMS_Leadership
GMS, Inc.
snp@gmsinc.net

Athens, Greece Tel: +30.210.899.0669
Cumberland, USA Tel: +1.301.759.9240
Hamburg, Germany Tel: +49.40. 3197.9963
Shanghai, China Tel: +86.216.075.1900
Singapore Tel: +65.6823.8037
Bhavnagar, India Tel: +91.278.300.5253
Dubai, UAE Tel: +971.4.423.0720
New York, USA: +1.240.505.9716
Seoul, South Korea Tel: +82.10.4650.0720
Tokyo, Japan Tel: +81.3.5453.6311